

THE HOME DEPOT, INC. (NYSE: HD)

Great Company, Full Price

The Multiple Assumes the Recovery

Equity Research Note · Consumer Discretionary — Home Improvement Retail · October 4, 2026

Recommendation	12-Mo. Price Target	Current Price	Implied Downside	Risk Rating
REDUCE	\$208	\$282.85 Oct 2, 2026	-26.4%	Medium Beta 0.96

Snapshot			
Market cap	~\$282 bn	Shares (diluted)	~0.998 bn
Enterprise value	~\$343 bn	52-week range	\$277.15 – \$397.63
Net debt	~\$61 bn	YTD / 1-yr return	negative / ~-24%
TTM revenue / op. margin	\$176.3 bn / ~13.5%	TTM / FY27E P/E	19.8x / 17.7x
Normalized FCF	\$15–16 bn	Dividend yield	3.3% (\$9.32 annualized)
Next catalyst	Q3'26 earnings ~Nov 17	Analyst consensus	Moderate Buy, avg PT ~\$376

This note is independent research-style analysis for informational purposes only and is not investment advice. Figures are drawn from Home Depot's SEC filings and earnings releases and market data as of October 2, 2026. Projections and the price target are the author's estimates. This note supersedes the September 28, 2026 edition (BUY, \$335 target), which is withdrawn.

1 Investment Thesis

We are downgrading Home Depot from BUY to **REDUCE** and cutting the target from \$335 to **\$208**. Nothing about the business changed — the price is the problem. The September note's \$335 target rested on a DCF run at a flat **7.5% WACC** whose present value of the terminal year was **79.6% of enterprise value** — the textbook terminal-value-dependence leak — blended 40/30/30 with a 20x P/E and a 14.5x EBITDA multiple to manufacture conviction. Rebuilt under hardened rules — a 10-year scenario DCF, base discount 9.0% (stable-compounder tier: oligopoly, mid-20s ROIC), bear 11.5%, bull 8.0%, terminal growth capped at 2.5% — fair value is **\$208.28, 26.4% below the \$282.85 quote**. Even the bull case (\$336.98) is only 19% above the price. At \$283 the market prices a bull-case outcome for a cyclical retailer; holders are paid nothing for the housing recovery and everything for multiple persistence.

To be explicit about what \$283 implies: our base case already assumes comps recover to +2–3%, operating margins re-expand toward 13.5%, free cash flow compounds 5% a year for a decade to \$24.4B, and leverage falls below 2x — and it is still worth only \$225. The extra \$58 of market price is pure multiple: investors are underwriting a housing-turnover snapback and a re-rating to ~21x earnings that the September note itself refused to assume ('we ascribe no recovery in our base case'). We agreed with that refusal. The hardened math just follows it to its conclusion: **if you won't assume the recovery, you can't pay for it**.

Why not SELL? The business is genuinely elite — through-cycle compounder, 33–34% gross margins held for four years, the only scaled Pro-distribution network in the industry — and the dividend (3.3%, raised 16+ straight years) pays the wait. The bear case (\$45.92) requires housing to stay frozen *and* tariffs to stick *and* the Pro integration to disappoint. REDUCE, not SELL: trim into strength, and we would turn buyers toward **\$200–210**, where the base case offers a margin of safety.

Why own it (at the right price)

The Pro flywheel is the real growth engine. SRS (\$18.25B) + GMS (~\$5.5B) + Mingledorff's (\$1.1B) build a 1,200+-facility trade-distribution network aimed at the complex Pro — higher tickets, stickier relationships, better margins. Pro is well over 30% of revenue and rising; nationwide 3-hour express delivery (launched August 2026) extends the logic to the store base.

Comps have inflected. Q2 FY2026 comps +1.7% globally (+1.3% U.S.), the strongest print since Q3 FY2022; Q1 was +0.6%. Two quarters of positive comps after a two-year drought.

Margins are stable, not broken. Gross margin 33–34% for four straight years — remarkable pricing discipline through tariffs and mix shifts. Operating margin compressed 15.3% → 12.7% on integration and deleverage; re-expanding (Q2 adj. 14.7%) as comps turn.

The balance sheet funds the wait. ~\$61B net debt (~2.2x EBITDA) is elevated but investment-grade (A2/A); \$3.0B retired in H1 FY26; the \$9.32 dividend is covered ~1.7x by earnings.

Why the market should be nervous

The price assumes the recovery the fundamentals haven't delivered. \$282.85 is 19.8x TTM earnings and sits 26% above our hardened base case. The September note's own DCF sensitivity table showed \$283 at 8% WACC — i.e., the market is discounting a cyclical, levered retailer like a bond.

The Q2 gross-margin beat was borrowed from the future. A one-time ~\$685M IEEPA tariff refund (~\$0.52/share) flattered the print; management expects fuel, energy, and input-cost inflation to offset it over the full year. Underlying margin recovery is unproven.

Big-ticket deferral has lasted longer than every prior cycle's pause. Appliances, flooring, kitchen remodel — HD's highest-ticket categories — remain in a consumer 'deferral mindset' since 2023. ~70% of mortgages sit below 5%; turnover near 4M annualized is a record-low freeze, not a thaw.

Leverage is the highest in HD's modern history. Net debt/EBITDA ~2.2x; buybacks paused since March 2024. If Pro-distribution integration stumbles or comps disappoint, deleveraging slows and the

historical ~2–3% buyback yield stays sidelined.

Tariff regime risk. A 15% across-the-board tariff (floated after the Supreme Court struck down prior duties) would test HD's diversification and could force price hikes that hurt units.

2 Business Overview

Home Depot (founded 1978, Atlanta) is the world's largest home-improvement retailer: ~2,350 warehouse-format stores across the U.S., Canada, and Mexico, \$176.3B of trailing sales. Three customer cohorts: DIY (~half of sales, the most cyclical), Pro (well over 30% and rising — contractors, remodelers, trades; higher ticket, repeat purchase, lower price sensitivity), and DIFM installation services. Revenue is ~90%+ North American; online comps grew 11% in Q2, the fifth straight double-digit quarter. Management describes demand as a barbell: average ticket +2.8% while transactions fell 1.0% — fewer, larger baskets; smaller repair/remodel projects and Pro demand offsetting weak big-ticket discretionary.

Two structural edges. First, exclusive brands: Milwaukee and Ryobi (via TTI), BEHR paint, Husky, HDX, LifeProof — unavailable at Lowe's or Amazon, converting tool and paint aisles into destination categories with pricing power. Second, the Pro ecosystem: the SRS/GMS trade network's same-day/next-day jobsite delivery that pure retail cannot match. The weak spots are the big-ticket discretionary categories (appliances, flooring, kitchen/bath) — cyclical, not structural, and precisely what a housing-turnover recovery would unlock. Leadership: CEO Ted Decker on temporary medical leave announced August 12, 2026; EVP Ann-Marie Campbell and CFO Richard McPhail running the company in the interim.

3 Financial Situation

A through-cycle compounder whose earnings flatlined — not collapsed — through the housing freeze. Revenue compounded through the SRS/GMS acquisitions while organic comps were negative in FY23–FY24; net income troughed in FY25 and is re-accelerating on a TTM basis. TTM free cash flow of \$10.8B looks soft but absorbs a \$2B YoY inventory build and tariff working-capital noise; normalized FCF power is \$15–16B.

\$ bn (FY ends early Feb)	FY22	FY23	FY24	FY25	TTM
Revenue	157.4	152.7	159.5	164.7	176.3
Revenue growth	+4.1%	–3.0%	+4.5%	+3.3%	+10.4%
Gross margin	33.5%	33.4%	33.4%	33.3%	33.4%
Operating margin	15.3%	14.2%	13.5%	12.7%	~13.5%
Diluted EPS (GAAP)	\$16.69	\$15.11	\$14.91	\$14.23	\$16.28
Free cash flow	11.5	18.0	16.3	12.7	10.8

TTM includes ~\$685M one-time IEEPA tariff refund in Q2 (~\$0.52/share). Sources: 10-K/10-Q filings; Yahoo Finance.

Management's reaffirmed FY2026 guidance (ends January 2027): total sales +2.5% to +4.5%, comps flat to +2%, gross margin ~33.1%, operating margin 12.4–12.6% (12.8–13.0% adjusted), GAAP/adjusted EPS flat to +4% off \$14.23/\$14.69 bases. The guidance explicitly includes the IEEPA refunds, expected to be offset over the full year by fuel, energy, and input-cost inflation — we model accordingly.

4 Competitive Landscape

A two-player national oligopoly with a long tail of specialists. Lowe's is the cleaner DIY operator (higher ROIC, dividend Aristocrat) and trades cheaper — ~14.5x forward vs HD's 17.7x. But Q2 revealed the gap: +0.2% organic comps vs HD's +1.7%, with margins compressing while HD's held. Lowe's is now mimicking the Pro-distribution playbook (Foundation Building Materials, Artisan Design Group), validating HD's strategy while trailing its execution. Beyond Lowe's: Amazon lacks jobsite logistics and Pro relationships (HD's 3-hour express delivery is a direct answer); specialty distributors (ABC Supply, QXO/Beacon) are the true Pro rivals — SRS/GMS was built to

fight them on their own turf.

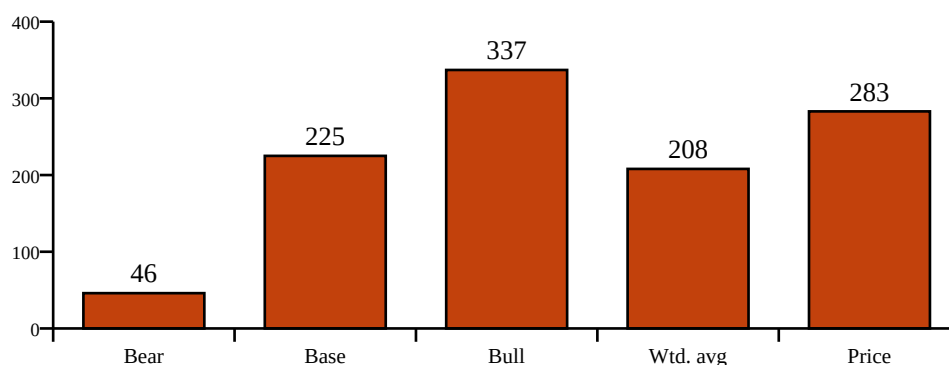
5 Valuation — Hardened 10-Year DCF, Fair Value \$208

The September note's \$335 target blended a 7.5%-WACC DCF (\$318), a 20x forward P/E (\$322), and a 14.5x EV/EBITDA (\$361) — and the DCF's terminal value was **79.6% of enterprise value**, the exact terminal-dependence leak the hardened rules exist to catch. The rebuild values Home Depot on a single 10-year scenario free-cash-flow DCF, weights bear 25% / base 50% / bull 25%, with scenario-specific discounts: **base 9.0%** (stable-compounder tier — oligopoly, mid-20s ROIC, dividend compounding; not the 7.5% of a bond proxy), **bear 11.5%** (base + 250bp), **bull 8.0%** (base – 150bp, at the floor). Terminal growth is capped at **2.5% / 1.5% / 2.5%** on year-10 FCF at normalized mid-cycle margins (~9.5% base, never peak). Net debt \$61B; 0.998B shares. Terminal value is 57% of base-case EV — under the 70% haircut line, but only just; the old model's 80% would have forced one.

Scenario DCF (10-year FCFF, FY27–FY36):

Scenario	2027–36 rev CAGR	FCF path (\$B)	FCF mgn yr-10	Discount / term. g	Fair value
Bear	–0.5%	14.0 → 10.3	6.3%	11.5% / 1.5%	\$45.92
Base	+4.2%	15.8 → 24.4	9.5%	9.0% / 2.5%	\$225.11
Bull	+5.8%	16.1 → 29.5	9.8%	8.0% / 2.5%	\$336.98
Probability-weighted (25/50/25) → \$208 target					\$208

Scenario fair values vs. current price (\$)



The bear case hurts the way the rules require: housing stays frozen, comps go flat-to-negative, tariff costs stick, and the Pro integration disappoints — revenue declines –0.5%/yr, FCF margin compresses 320bp vs base (9.5% → 6.3%), and the derating is 84%. Bear fair value **\$45.92**, far below the quote. The base case is generous — comps +2–3%, margins back toward 13.5%, FCF compounding 5%/yr for a decade — and it is worth **\$225.11**, still 20% below the price. Even the bull case (\$336.98: housing-turnover snapback, comps +4%, SRS/GMS synergies beat) is only 19% above the quote. Sensitivity: at a 10% base discount the weighted value falls to \$177 — the verdict does not depend on the 9% tier.

Price target: \$208. The target is the probability-weighted hardened DCF ($0.25 \times \$45.92 + 0.50 \times \$225.11 + 0.25 \times \$336.98 = \208.28 , rounded) — with no multiple overrule. The September note's \$335 was a blend that let 14.5x EBITDA (\$361) launder a 7.5%-WACC DCF; that overrule is rejected as circular. What would falsify the REDUCE: a genuine housing-turnover recovery (existing-home sales sustainably above 4.5M annualized) with comps printing +4% would argue for the bull case — as would buyback resumption ahead of schedule with leverage falling below 2x.

6 Key Risks

Housing / rates (the big one). HD is a leveraged play on turnover. If mortgage rates stay ~6%+ and existing-home sales languish near 4M, the big-ticket recovery underpinning any bull case never arrives; comps could re-decelerate to flat.

Tariff pass-through. The Q2 gross-margin beat was flattered by the one-time IEEPA refund; a 15% across-the-board tariff would test HD's diversification and could force unit-hurting price hikes.

Leverage and paused buybacks. Net debt/EBITDA ~2.2x is the highest in HD's modern history; the historical ~2–3% buyback yield stays sidelined until deleveraging progresses.

Big-ticket deferral persistence. The consumer 'deferral mindset' since 2023 has lasted longer than every prior cycle's pause; prolonged deferral caps ticket growth.

Leadership transition noise. CEO on temporary medical leave since August 2026; any extension creates an overhang into the holiday season.

Competition. Lowe's copying the Pro-distribution playbook; Amazon compressing delivery expectations; specialty distributors defending Pro share.

Recommendation

REDUCE, \$208 target (–26.4%). Home Depot is a superb business trading at a price that assumes a superb recovery — and then a re-rating on top of it. The hardened 10-year DCF values the equity at \$208 (bear \$45.92 / base \$225.11 / bull \$336.98) against a \$282.85 quote; even the bull case is only 19% above the price. The old \$335 target rested on a 7.5% WACC with 80% of value in the terminal year, blended with multiples — the rebuild rejects that stack as optimism laundering. **Current holders should reduce** — this is a great company at a full price, and the ~3.3% dividend does not compensate for 26% of downside to fair value. We would upgrade to HOLD toward **\$225** (the base case) and turn buyers below ~\$200, where the base case finally offers a margin of safety. **Falsification:** a sustained housing-turnover recovery with +4% comps, or buyback resumption with leverage below 2x ahead of schedule, would argue the market is right to price the bull case — and we would revisit.

Methodology & sources. Valuation as of October 4, 2026; share price \$282.85 (10/2/26 close). Model: 10-year scenario FCFF DCF, weights bear 25% / base 50% / bull 25%; discounts base 9.0% (stable-compounder tier) / bear 11.5% / bull 8.0%; terminal growth 2.5% / 1.5% / 2.5% on year-10 FCF at normalized mid-cycle margins. Net debt \$61B; 0.998B diluted shares. Bear case meets all three hurt conditions (revenue decline, ≥300bp margin compression, ≥25% derating) and sits below the current price. Terminal value is 57% of base-case EV (no haircut required). Financials from SEC 10-K/10-Q filings (CIK 354950) and earnings releases; market data via Yahoo Finance. This note is research analysis for informational purposes and is not personalized investment advice. Equity investing involves risk of loss. The author holds no position in HD at the time of writing.